As one method of pleading the existence of a contract, "[a] written contract may be pleaded either by its terms- set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference- or by its legal effect." (*Heritage Pacific Financial, LLC v. Monroy* (2013) 215 Cal.App.4th 972, 993.)

Alternatively, a plaintiff may plead the legal effect of the contract rather than its precise language, as long as the allegations are sufficient to establish a prima facie right to relief. (*Construction protective Services, Inc. v. TIG Specialty Ins. Co*. (2002) 29 Cal.4th 189, 199 [contract satisfactorily alleged that the insurance policy obligated defendant to defend and indemnify plaintiff against suits seeking damages and that, under the terms of the policy, a third party's claim of setoff fell within the scope of the contractual obligation].) Here, Plaintiff has done neither. Therefore, Plaintiff has not alleged the existence of a contract.

Also, the Complaint is uncertain. As Defendant argues, the Complaint alleges the existence of two contracts: the insurance policy and the settlement agreement, but the allegations are insufficient to discern on which Plaintiff's claim is based. On that basis, Defendant argues that the pleading is uncertain. Plaintiff argues that he is alleging that Defendant is in breach under both the insurance policy and the settlement agreement. However, as set forth above, Plaintiff has failed to allege the existence of a contract by either setting forth its terms, describing its legal effect, or simply attaching a copy to the Complaint.

SECOND CAUSE OF ACTION – BREACH OF IMPLIED COVENANT OF GOOD FAITH

"Bad faith claims are based on the contractual covenant of good faith and fair dealing." (*San Diego Housing Com'n v. Industrial Indem. Co. (*1998) 68 Cal.App.4th 526, 544.) The covenant of good faith and fair dealing is implied by law in all contracts, including policies of insurance. (*Comunale v. Traders & General Ins. Co*. (1958) 50 Cal.2d 654, 658.) However, where there is no breach of contract found, there is no grounds for finding a breach of the covenant. (*San Diego Housing Com'n v. Industrial Indem. Co., supra,* 68 Cal.App.4th at 544.) Here, for reason Plaintiff has failed to sufficiently allege a cause of action for breach of contract, this claim also necessarily fails.

4.

CASE #	**CASE NAME**	**HEARING NAME**
CVRI2601678	AKIROV VS RIVIAN AUTOMOTIVE, INC.	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Defendant Rivian Automotive, Inc.'s Motion to Compel Arbitration is denied.

Defendant's request for judicial notice of Plaintiff's Complaint is granted.

The court must grant the petition to compel arbitration unless it finds either: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement, or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (Cal. Rules of Court, rule 3.1330; see *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-219.) This rule does not require the petitioner to authenticate the agreement or do anything more than allege its existence and attach a copy. (*Condee, supra,* 88 Cal.App.4th at 218-219.) Once this is done, the burden shifts to the opposing party to demonstrate the falsity of the purported agreement. (*Id.*)

In determining whether to grant a motion to compel arbitration. the trial court is presented with two gateway issues of arbitrability: (1) whether there is an agreement to arbitrate between the parties, and (2) whether the agreement covered the dispute at issue. (*Howsam v. Dean Witter Reynolds, Inc*. (2002) 537 U.S. 79, 84.) Under both federal and state statute, the threshold question when presented with a petition to compel arbitration is whether there is an agreement to arbitrate. (*Cheng-Canindin v. Renaissance Hotel Associates* (1996) 50 Cal.App.4th 676, 684; See 9 USC §2; Code Civ. Proc., §1281.) Here, Defendant has not made the threshold showing that a valid arbitration agreement exists between Defendant and Plaintiff either under a direct contractual relationship or under the doctrine of equitable estoppel.

Plaintiff does not dispute executing the Agreement on August 12, 2024. Plaintiff also does not dispute that the FAA applies. Indeed, the Agreement states, “This arbitration agreement is entered into pursuant to the Federal Arbitration Act, 9 U.S.C. §§ 1-16.” (Agreement, pg. 7.) As the Agreement provides for the FAA to govern, then it governs. (*Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.App.4th 376, 394; *Aviation Data, Inc. v. American Express Travel Related Services Company, Inc.* (2007) 152 Cal.App.4th 1522, 1534-1535.)

Plaintiff’s sole contention is whether the Agreement covers Plaintiff’s claims.

Defendant argues Plaintiff’s claims fall squarely within the scope of the arbitration clause. Conversely, Plaintiff contends his claims do not arise from and are not intertwined with the Agreement and thus falls outside the scope of arbitration, citing to *FMWC, supra,* 17 Cal.5th 1122.

The burden is on the party opposing a petition to compel arbitration to show the arbitration agreement cannot be interpreted to cover the dispute in question. (*Buckhorn v. St. Jude Heritage Medical Group* (2004) 121 Cal.App.4th 1401, 1406.)

Defendant maintains it directly contracted with Plaintiff such that it can enforce the arbitration clause. Defendant is incorrect. For the first time in reply, Defendant submitted testimony that it does not have third-party dealerships that handle the leasing or selling of its vehicles and that “[t]he names Rivian, LLC and Rivian Automotive, Inc. both refer to the same wholly entity.” (Ameripour Supp. Decl., ¶2.)

First, under general rules of motion practice, new evidence is not permitted with reply papers and is only allowed in exceptional cases. (See *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538.) This rule and the principles behind it apply particularly where the circumstances or evidence were known to the party or attorney when their original motion was filed. (*Maleti v. Wicikers* (2022) 82 Cal.App.5th 181, 227-228.) As the party moving to compel arbitration, Rivian has the initial burden to show an agreement to arbitrate exists. (*Espejo v. Southern California Permanente Medical* Group (2016) 246 Cal.App.4th 1047, 1060.) It is clear from Ameripour's supplemental declaration that Defendant knew the information supplied when it filed its motion but for some reason chose to omit it and waited to provide it in reply. Rivian Automotive, Inc. is not a party to the contract.

Second, even if the Court were to consider Ameripour's supplemental declaration, it is still insufficient to establish Defendant is a party to the lease contract. Plaintiff executed the Agreement with "Rivian LLC – Eastvale". Ameripour's supplemental declaration fails to establish that Rivian LLC – Eastvale is the same as the named Defendant in this lawsuit, Rivian Automotive, Inc. Thus, there is no evidence that Defendant is a party to the Agreement that Plaintiff executed.

The general rule is that one must be a party to an arbitration agreement either to be bound by or to invoke it. (*FMWC, supra,* 17 Cal.5th at 1128.) Moreover, nothing in the Agreement between Plaintiff and Rivian LLC – Eastvale expressed an intent to empower third parties to invoke the arbitration clause. The Agreement states:

> You and we agree that upon the election of either of us, any claims or disputes relating in any way to your lease account or transactions will be resolved by binding arbitration as discussed below, and not through litigation in any court (except for matters in small claims court)…Claims are subject to arbitration, regardless of what theory they are based on or whether they seek legal or equitable remedies. Arbitration applies to any and all such claims or disputes, whether they arose in the past, may currently exist, or may arise in the future…*Claims in arbitration will proceed on an individual basis, on behalf of the named parties only.*

(Agreement, pg. 7, emphasis added.)

Based on the foregoing, the Agreement here only allows the contractual parties, Plaintiff and Rivian LLC – Eastvale, to arbitrate. Because there is no contractual relationship between Plaintiff and Defendant, Defendant cannot enforce the arbitration clause in the Agreement.

Moreover, Defendant has not provided any basis for the Court to find that it may, as a non-signatory, invoke the arbitration clause in the Lease Contract under the doctrine of equitable estoppel. The doctrine of equitable estoppel, in the arbitration context, applies to preclude a party from asserting rights under an agreement "when [that] party has signed an agreement to arbitrate but attempts to avoid arbitration by suing nonsignatory defendants for claims that are based on the same facts and are inherently inseparable from arbitrable claims against signatory defendants." [Citations.] (*Metalclad Corp. v. Ventana Environmental Organizational Partnership* (2003) 109 Cal.App.4th 1705, 1713, internal quotation omitted.).

A court can find that equitable estoppel applies to an arbitration agreement either or two ways: "the claims the plaintiff asserts against the nonsignatory must [1] be dependent upon, or [2] founded in and inextricably intertwined with, the underlying contractual obligations of the agreement containing the arbitration clause." (*Goldman v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 219, italics added.)

Here, by entering the Lease Contract, the lessor and lessee agreed that "any claims or disputes relating in any way to [the] lease account or transactions" will be resolved by arbitration. There is no language in the Lease Contract suggesting that Plaintiff's warranty claims or statutory claims under Song-Beverly Act relies on the Lease Contract in any way. It cannot be said that Plaintiff's claims rely on the underlying agreement that contains the arbitration clause merely because the underlying agreement is a "necessary step" in effectuating the warranty relationship between the nonsignatory manufacturer and the Plaintiff; rather, actual reliance is required. (*Id*. at 231; *Ngo v. BMW of North America, LLC* (9th Cir. 2022) 23 F.4th 942, 949 [the manufacturer's obligations to the buyer under the warranty arose independently of her agreement with the dealership].) This means, just because the manufacturer provided the buyers (or lessor in this case) with an express warranty as a result of the sale (or lease), that does not mean the manufacturer's obligation to provide a non-defective vehicle under its separate warranty is "in any way founded on an obligation imposed by the sales contract or is intertwined with those obligations." (*Ibid*.)

Plaintiff does not rely on the Lease Contract in asserting his claims against Defendant for the alleged defects in the subject vehicle, which, instead, are based on the breach of express warranty between the buyer and manufacturer under the Song-Beverly Act. Hence Plaintiff's claims are neither interdependent nor intertwined with the obligations of the Lease Contract for Plaintiffs to be equitably estopped from resisting Defendant's attempt to compel arbitration. The rights and obligations of the parties to the Lease Contract only relate to the terms of the lease, including the total lease payment and the Lessee's obligations to make monthly payments, and the Lessor's rights and remedies in the event of Lessee's default, along with information regarding insurance, and cancellation rights.

Even assuming a valid arbitration agreement exists between Plaintiff and Defendant, the agreement cannot be read to cover Plaintiff's claims alleged in the Complaint. The wording of the arbitration agreement should determine whether it applies to a particular dispute. (*See Rebolledo v. Tilly's, Inc.* (2014) 228 Cal.App.4th 900, 913 [the parties' intention is determined from the writing alone (Civ. Code, §1639)].) The burden is on the party opposing a petition to compel arbitration to show the arbitration agreement cannot be interpreted to cover the dispute in question. (*Buckhorn v. St. Jude Heritage Medical Group* (2004) 121 Cal.App.4th 1401, 1406.) Here, the arbitration clause in question cannot be read so broadly to include any dispute arising out of or relating to any aspect of the relationship between Plaintiff and Defendant. In fact, the Lease Contract specifies that "the Vehicle is subject to the manufacturer's standard new car warranty," which can be read to mean that warranties are covered separately by the manufacturer. Furthermore, the Lease Contract explicitly disclaims any implied warranties, including “the warranties of merchantability or fitness for a particular purpose, except where prohibited by law.”